Sridhar Vembu, Zoho

> I spoke with Sridhar about his rather unorthodox but quite successful entrepreneurial journey. I have always admired fiscal discipline in entrepreneurs. Sridhar exemplifies this quality, which has allowed him to attain a position of tremendous negotiating power at the highest rungs of the venture capital industry.
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> In one of our conversations, Sridhar posed the question, “How much money does one need?”
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> The question itself gives you an idea about this entrepreneur’s value system.

SM: I would like to start by tracing your background.

SV: I was born in India, went to Madras IIT for my undergraduate and came to Princeton to do my PhD in 1989. In 1994, I joined Qualcomm in San Diego. My PhD is in electrical engineering, so I really do not have a software background. I worked on wireless communication with Qualcomm for two years. On CDMA, power control and some very detailed issues on wireless communications. That is how I got started in the tech industry.

My brother, who was also at Qualcomm as a software engineer, wanted to return home to India. Software is a great business to start in India, so he moved back and I moved to Silicon Valley to drum up interest in our fledgling venture, which later became AdventNet.

We ended up partnering with Tony Thomas, who had some network management software and was experienced in the area. We created a development center in India and started selling our software to customers in the Bay Area. To Cisco and folks like that. It was a great time to be selling that piece of software because there were a lot of networking companies getting started in the Bay Area in the late ‘90’s.

SM: Tony had written this software already and you got yourself the distribution rights?

SV: He had written a very early piece. We set up a development center in India and we started adding more to that core. He had developed some software by himself, but we came together and developed it further.

SM: How did you fund your early initiative?

SV: It was all bootstrapped. My wife worked, she is also an engineer, so I was able to stay home and work on the venture. Tony had taken a buyout from his job. At the time Lucent bought out a lot of smart people, meaning they gave them money to leave. That is how it all started.

There was no investment money of any kind, only some family and friends. The software started selling well, we stumbled upon an opportunity and sold a lot to companies here in Silicon Valley. We also had a good market in Japan. Japanese companies would buy the software, customize it, and ship it with their equipment. That was our early phase of growth through 2000. We had grown to 115 engineers in India and we were 7 people here.

SM: What kind of revenue were you doing in 2000?

SV: We were doing about $10 million by 2000. Then in 2001 and 2002, the networking business had a huge meltdown. By then, however, we had a huge exposure to the optical communications business. A lot of the networking equipment was moving to optical. We had something like 100 optical startups, and you can imagine what happened to us when the whole optical sector collapsed in the 2001–2002 timeframe.

We had a lot of engineers and now they were idle because the software was not selling anymore, so there was no need to keep investing in what we were doing. We had all of these resources, so we just had to figure out what we were going to start doing next. We looked around and decided to go in two directions. With the first, we took the same network management software and converted it to a more enterprise model, as opposed to the OEM model we originally sold in. We also had an on-demand effort, so we put some engineers on that path. That is how Zoho got started.

The network management engine that we call Manage Engine is now doing well again. Both of these paths were born around the same time, 2003–2004, because the seeds were planted in the downturn. Throughout all of this we had abundant resources which we had built up during the previous bubble. We had a very engineering focused company, and we did not want to let anybody go – it was just better to re-focus and re-design ourselves.

SM: Did you have to take a revenue hit between 2000–2003?
SV: In 2001 we still experienced growth. In 2002 we took a hit. By 2003, although a lot of the startups were gone, we had successfully transitioned the core of our business to well established companies. By 2004 and 2005 this network management software had really taken off. Of course, we had a head start – we already had the technology.

SM: What is Manage Engine?

SV: It competes with the likes of HP OpenView and Computer Associates and does network monitoring. The main difference is that it is geared toward the mid-level markets, not the high-end enterprise segment.

SM: How were you selling into the mid-market?

SV: This is a very interesting story. By 2004, the Google advertising model had taken off. We found we could reach customers directly. Today we have thousands of new customers per month, most of them through the Internet. Resellers also – maybe 50% of our sales are from resellers. That market has also changed. It has become much easier to supply companies directly. The Internet is allowing us to reach all of these customers.

SM: You have Manage Engine on one side and Zoho on the other – what is the revenue split?

SV: Zoho is new, so it has not yet contributed any revenue. Our OEM model is reviving as well. Interestingly enough, optical networking products, which really struggled in 2002, revived in the 2004 timeframe. Things like wireless, WiMax, have taken over from optical as well to a certain extent.

Plus, our business is built on a stronger foundation because there are not so many shaky startup companies on our customer roster. The players now are business-model focused companies. The market has stronger companies, it has recovered and we are doing good business. Not a hot business, but a good business. Manage Engine is doing really well in its market environment. Zoho is invested in the on-demand future model.

SM: Before we go into the details on the Zoho story, let me make sure we get on the same page. What is the revenue level from the OEM business and what is the revenue level from Manage Engine?

SV: I would say OEM accounts for 30% of our revenue, while Manage Engine, which we started in 2003, is now accounting for 70% of our revenue. Zoho is really small right now, and there are only two products which are even priced.

SM: Can you position Zoho for me?

SV: Zoho is an on-demand application offering. We are offering a competitor to Microsoft Office on demand, meaning online. We also have a CRM and an application creator online. We just call it the ability to work online. That is our vision - to provide a comprehensive suite for a mid-sized customer. We want mid-sized customers to be able to have their IT needs met online.

SM: This is a crowded field. On one hand, you have Microsoft Office and on the other you have Google coming out with their competing suite. With CRM you have Salesforce.com and Rightnow. With Project Management you have eProject. With Web Meetings, you have Webex and Citrix all going after the same space.

SV: There are obviously going to be a lot of players, and it is obviously going to be a huge market. There are going to be tens of billions of dollars available in the market.

SM: What is your strategy – different offerings, different pricing?
SV: There are two things we are playing on. The first is to have the most comprehensive offering. If you look at our suite, we have a full comparison to Microsoft Office. All of these differentiate us from each of the other players. SalesForce only offers CRM, which they are trying to combine with an application creation functionality. We already have it. That is one

differentiation. Our main strength is that we have an incredible engineering team. SalesForce has maybe a 100-strong engineering team, we have 600 engineers in our office in India.

SM: How can you say SalesForce does not have enough engineers?
SV: You can check their R&D and their spending reports. They have 2000 employees, but only 100 are engineers. That in itself is an interesting phenomena. It tells you a lot about their business model. All of these guys have become too marketing-oriented, and not enough engineering-focused.

SM: So, Zoho has more engineers than any other type of employee, while SalesForce has more...well, sales force?

SV: Exactly.

SM: I will push back on that and say that the mid-market is a place where the channel is the big differentiator rather than engineering. That has historically been a market which is very difficult to reach, though as you've pointed out it is becoming easier.

SV: With Manage Engine we have already seen some of this – we faced companies 10 or 50 times our size, but we built our profitability around capability. An online oriented strategy lets us compete.

SM: Yes, but Manage Engine is an IT product. You are now moving to an Office suite – that is hard-core consumer capability. It is a prosumer product. This is not the same game.

SV: There are different sides to this. The prosumer side is that people are savvy and are spending their money and time online. The second is that we are already reaching the IT departments of the mid-sized marketplace through Manage Engine. We know we are reaching IT directors in those mid-market companies. On the consumer front, we will reach the ones who are savvy. Zoho CRM is a good example. We have signed up 50,000 subscribers with no advertising at all.

SM: What do you price that at?

SV: It is $12 per month per user. SalesForce's is $65 per month per user. We get most of our customers because the first users are free, so most of our 50,000 are free users, but it is gaining momentum at an extremely rapid pace. We have a lot of SalesForce conversions as well. People are converting because of the price. They sign up for the free account, try it for 6 months, and feel confident migrating over.

SM: How many customers does 50,000 users translate into?
SV: About 3,000 businesses.

SM: In terms of selling into these accounts, is it the IT personnel making the decisions?

SV: It is mainly the sales management who are really coming in now. Initially they come over for price reasons.

> **"I am really not ashamed to compete on price, that is our main strategy."**

SM: They are already sold into the on-demand concept?

SV: Exactly. I am really not ashamed to compete on price, that is our main strategy. We are going to compete on price.

SM: On the CRM side that will work. I think the office suite is a lot more difficult.

SV: Yes, I would agree. We have about 300,000 users signed up already. But you are right that today I cannot persuade a large customer to adopt the suite. A lot of their employees are doing it one at a time, and there are a lot of university students and professors coming on board, and those types of adoptions spread widely.

We can also break up the portfolio. It may not be the office software you want, but you would like a really good meeting software. We provide an online meeting capability which is affordable. We are never going to charge for the personal edition of our software.

SM: The meeting software, which will compete with WebEx and Citrix – what are you charging for that?

SV: It is free right now.

SM: The only product you are pulling in revenues on right now is the CRM suite?

SV: Correct.

SM: What type of numbers do you have on the whole project?

SV: The free is huge. I am completely comfortable with the open source model for 90% of the users. Keep marketing costs low. That is really the strategy. If you do the SalesForce economics, 75% of their revenue is spent on acquiring customers. There should be a better way of doing business than charging the customer for acquiring him. Why not give it away for free, if all the money will be spent on acquiring the customer elsewhere?

SM: I like your model. I think many Indian companies could replicate this model in other domains or on other applications. It's the low-cost manufacturing model that China has perfected. Once upon a time, flat panel monitors were expensive. But today, we buy purely on price. I have a no-name monitor by a company called SOYO sitting on my desk, looking just as slick as an HP or an Apple. The functionality is standard. I care only about the price. Software will likely also go there, and if Indian entrepreneurs can play their

cards right, they will be able to build businesses using the exact same model as what you have just described.

SV: Exactly right. We are in a very different phase of market maturity today, and how you build companies will be very different.

SM: So Sridhar, you have done a remarkably good job of building your company without any external financing. For the next phase of growth, now that you are taking on more ambitious goals, do you intend to raise capital?

SV: Absolutely not. We plan to keep doing this with our own money. Our OEM and Manage Engine businesses generate enough cash to allow us to bootstrap the Zoho piece.

SM: You have 600 engineers in Chennai. Do you face attrition problems?

SV: We don't. I believe most attrition happens from boredom related issues. We try to keep our team motivated and challenged with interesting work, and as a result, they don't leave. Of course, we have good compensation, a strong bonus plan, etc. You see, we don't intend to sell the company, so there is no stock option plan, because it is meaningless. However, we have a great bonus plan, and people learn and grow with us. It works.

SM: Boy, you really are a contrarian, Sridhar! Good luck to you. I will watch your company with great interest.

SV: Thanks, Sramana.

SM: To conclude, a little side note – when I subsequently wrote his story for Forbes, Sridhar called to say his father would be very uncomfortable with the feature. "He has always taught me modesty, humility" – asserted the son, as I'd tried to showcase him as a role model, especially for young entrepreneurs in India.